Outlook

[Kotak] Amber 4QFY26 first take: In line operating performance; FY2027 segmental guidance indicates a strong growth outlook

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Financial summary:-

- Amber's 4QFY26 revenue grew 10.5% yoy to Rs41.5 bn and came in line with our expectations. Electronics (+21% yoy) and Mobility(+22% yoy)saw strong growth this quarter with consumer durable growth coming in at 7% yoy in line with our expectations.
- Electronics segment reported strong +21% yoy growth, in line with KIE estimate led by contribution from recent acquisitions (Power One, Unitronics, Shogini) as well pickup in PCBA segment. RAC segment for the full year achieved a growth of 14% in line with mgmt. guidance of 13-15% outperformance vs AC industry growth.
- EBITDA for the quarter increased by 22% yoy to Rs3.6 bn (+4% KIE Est.). EBITDA margins for 4QFY26 came in at 8.4% - 20bps higher than expectation. Driven by strong margin performance in in the electronics business (contribution from high margin new acquisitions) and consumer durable business reporting in line with expectations (margin had the impact of commodity and FX on expected lines)
- Amber's PBT came in at Rs2.14 bn (-17% below KIE estimates) as in line operating performance was offset higher interest and D&A cost. Overall reported PAT came in at Rs1.34 bn (exceptional item of Rs640mn and minority loss of Rs640m both pertain to Shivalik and net off against each other with core minority loss at Rs30 mn).
- Working capital days based on period end data increased from 9 days to 56 days as per KIE. This is was primary due to lower payable days as well as some movement from payables to other current liabilities. Adjusted working capital days for FY2026 was 29 days.

Segmental highlights:

- Consumer durables:
  - 4QFY26 revenue came in line with expectations at Rs29.8 bn (+7% yoy, +2% vs KIE), due to adding new customers, increasing wallet share from existing customers and growth in adjacent verticals like commercial ACs. For the full year the company achieved a revenue growth of 14% in line with its expectations of outperforming the industry by 15%.
  - EBITDA margins for consumer durable segment stood at 7.5% for the quarter in line with our expectations. Margins saw a 90bps yoy decline due to surge in commodity prices and currency depreciation, however this was on expected lines.
- Electronics:
  - 4QFY26 revenue came in at Rs10.2 bn (+21% yoy, -5% vs KIE) led by pickup in PCBA and contribution from Power One, Unitronics and Shogini
  - EBITDA margins for the segment continued to be strong at 10.8% vs 10% KIE Est. We attribute this to operating leverage in PCBA business and higher contribution from high margin acquisitions.
  - The Electronics segment is expected to grow at 40%+ in FY2027 this is line with expectations; driven by ramp up of newer acquisitions and commercialization of PCBA plants.
  - For Ascent circuits, the new plant trail production will start from Sept/Oct 2026 which is line with previous guidance
  - For Korea circuits trial production by Q3FY28 is quarter delay from the timelines highlighted last quarter.
- Mobility (Railway sub-systems & defense):
  - Revenues came in at Rs1.5 bn (+22% yoy, +17% vs KIE) came in ahead of our expectations. EBITDA margins came in at 19%, also ahead of KIE estimates of 16.1% primarily driven by operating leverage in our view.
  - FY2027 is expected to be the key year for growth for this division with the company guidance of 30-35% revenue growth in line with our expectation for FY2027, this will be driven new commercial production from new facilities of Sidwal and Yujin JV.

Our take:-

- Amber's reported a strong core operating performance, however net interest cost was the key negative this quarter.
- RAC business performance remains strong but mgmt. commentary on (1) outlook on the ongoing summer season, (2) the impact of higher raw material and currency as well as (3) any supply chain or production disruptions will be keenly watched our for from the earnings call.

- Amber is also undertaking significant expansion primarily in PCB space so it will critical to know the status on
    - Ascent phase 1 Hosur expansion (any risk to commissioning date or targeted stabilization date)
    - Timeline for Ascent phase 2 expansion (Rs3.3 bn)
    - Korea Circuit JV expansion plan (factor driving the one quarter delay in targeted trial run for Korea Circuits)
    - Details on Shogini expansion plan
    - Key drivers behind the 40% growth guidance for electronics segment next year and any potential risk to achieving these targets.
    - Details regarding the strategic alliance with Sumitronics Corporation (Japan) and the revenue potential from the partnership.
- Additionally, it will be critical to understand organic growth and margin profile of the PCBA business this quarter as well as the current state of profitability in PCB segment given the sharp increase in raw material prices.

Amber Enterprises' 4QFY26 earnings concall is scheduled on Monday (18th May) at 9:30 am IST.

https://services.choruscall.in/DiamondPassRegistration/register?confirmationNumber=6081992&linkSecurityString=3292227c00

Quarterly consolidated financials of Amber,March fiscal year-ends, 4QFY26 (Rs mn)

					% change					
	4QFY26	4QFY26E	4QFY25	3QFY26	4QFY26E	yoy	qoq	FY2026	FY2025	% change
Financials (Rs mn)										
Sales	**41,475**	**41,140**	**37,537**	**29,428**	**0.8**	**10.5**	**41**	**121,865**	**99,730**	**22**
Expenses	(38,912)	(37,705)	(34,589)	(26,967)	3.2	12.5	44	(112,342)	(92,096)	22
Stock	(1,019)	-	(1,489)	114				723	1,297	
Raw material & mfg exp.	(33,684)	(33,599)	(29,823)	(23,741)		12.9	42	(100,201)	(83,152)	
Employee expenses	(1,557)	(1,218)	(923)	(1,230)	27.8	69	27	(4,593)	(3,246)	
Other operating expenses	(2,651)	(2,888)	(2,354)	(2,110)	(8.2)	12.6	26	(8,271)	(6,995)	
EBITDA	**3,582**	**3,435**	**2,948**	**2,461**	**4.3**	**22**	**46**	**9,523**	**7,634**	**25**
Other income	201	570	191	548				1,202	736	
Interest	(647)	(520)	(546)	(794)	24.6	18.6	(18)	(2,844)	(2,087)	36
Depreciation	(993)	(911)	(580)	(912)				(3,226)	(2,283)	
PBT	**2,143**	**2,575**	**2,013**	**1,303**	(17)	**6.5**	**64**	**4,655**	**3,999**	**16**
Extraordinary items	640	-	-	(1,031)				(391)		
Tax	(493)	(661)	(702)	(279)				(1,100)	(1,188)	(7.4)
PAT	1,649	1,914	1,311	1,024		26	61	3,556	2,811	26.5
Minority interest	(281)	(63)	(24)	(179)		1,094	57	(483)	(76)	
Share of profit/(loss) from JV	(670)	(90)	(127)	(86)		428	675.3	(900)	(300)	
Reported PAT	**1,339**	**1,761**	**1,161**	**(272)**	**(24)**	**15**	**(591)**	**1,781**	**2,435**	**(27)**
Adjusted PAT	**1,339**	**1,761**	**1,161**	**759**	**(24)**	**15**	**76**	**2,812**	**2,435**	**15.5**
Key ratios (%)										
Raw material cost/sales	83.7	81.7	83.4	80.3				81.6	82.1	
Employee expenses/sales	3.8	3.0	2.5	4.2				3.8	3.3	
Other operating exp./sales	6.4	7.0	6.3	7.2				6.8	7.0	
EBITDA margin	**8.6**	**8.4**	**7.9**	**8.4**				**7.8**	**7.7**	
PBT margin	5.2	6.3	5.4	4.4				3.8	4.0	
PAT margin	3.2	4.3	3.1	(0.9)				1.5	2.4	
Tax rate	23.0	25.7	34.9	21.4				23.6	29.7	
EPS (Rs)	**39.7**	**52.2**	**34.4**	**(8.1)**				**52.8**	**72.2**	

Source: Company, Kotak institutional equities

Segment-wise revenues for Amber (consolidated), March fiscal year-ends, 4QFY26 (Rs mn)

				Change (%)	
Segmental revenue (Rs mn)	**4QFY26**	**4QFY25**	**3QFY26**	**yoy**	**qoq**
Consumer Durable	29,790	27,870	19,710	**7**	**51**
Electronics	10,150	8,420	8,450	**21**	**20**
Mobility	1,530	1,250	1,270	**22**	**20**
Total	41,470	37,540	29,430	**10**	**41**

				Change (%)	
Segmental EBITDA (Rs mn)	**4QFY26**	**4QFY25**	**3QFY26**	**yoy**	**qoq**
Consumer Durable	2,220	2,340	1,410	**(5.1)**	**57**
Electronics	1,100	500	880	**120**	**25**
Mobility	290	303	180	**(4.3)**	**61.1**
Total	3,610	3,143	2,470	**14.9**	**46**

Segmental EBITDA margin (%)	**4QFY26**	**4QFY25**	**3QFY26**
Consumer Durable	7.5	8.4	7.2
Electronics	10.8	5.9	10.4
Mobility	19.0	24.2	14.2
Total	8.7	8.4	8.4

Source: Company, Kotak institutional equities

Regards,

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Institutional Equities

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